IT Services the Bulwark of Foreign Trade

India exported $96.1 billion worth of telecommunication, computer and IT services (essentially IT services) in 2019–20. We also imported some amount of such services to the tune of $10.2 billion. Thus, the country had an impressive surplus of $85.9 billion in the IT segment of services. This was greater than the total surplus on the services account of $84.9 billion. The stellar role of IT services in cushioning the pressure on India's foreign exchange account is evident.

After the IT services and telecommunications segment, the next largest surplus was recorded with respect to travel services at $7.99 billion. Travel services have also been consistently providing a surplus despite the fact that Indians spent over $22 billion on consumption of travel services as income from travel services recorded $30 billion in 2019–20. Another notable surplus was in the case of financial services at $1.8 billion, though the total size of financial service exports was small at $4.7 billion.

On the deficit side, the largest negative income was recorded with respect to charges for the use of IP not included elsewhere—essentially, royalties at $6.8 billion. India is dependent on foreign technology and FDI support. As the benefits of foreign technology import and FDI far outweigh the cost in terms of royalties, this should not be a real cause of worry. Transport services at a negative balance of $3.3 billion was the next highest amount of deficit. Other negative contributing services were more balanced as their deficits were much smaller at less than $1 billion.

Inflows/Incomes of Factors of Production and Investment Flows

Three other important segments of the current account reflect trade in factors of production: compensation of resident employees working abroad or working digitally for residents of other countries; investment income from investments made in equity and debt in any form (FDI, portfolio